1. What is a Share?

A **share** (or **stock**) represents **ownership in a company**. When you buy a share, you become a shareholder and own a small part of the company. Companies issue shares to raise capital for growth, and investors buy them to earn potential returns.

Types of Shares:

1. **Equity Shares** – Common stocks that give voting rights and dividends.
2. **Preference Shares** – Get priority in dividend payments but usually lack voting rights.

How Shares Work:

- Shares are traded on stock exchanges like NSE (National Stock Exchange) and BSE (Bombay Stock Exchange).
- The price of a share depends on demand and supply, company performance, and market conditions.
- Investors make money from **capital appreciation** (price increase) and **dividends** (profit-sharing by the company).

Example:

If you buy 10 shares of a company at ₹100 each and later sell them at ₹150, you make a profit of ₹50 per share.

2. What is a Mutual Fund?

A **mutual fund** is an **investment vehicle** that pools money from multiple investors to invest in a diversified portfolio of stocks, bonds, or other assets. A professional fund manager manages these investments.

Types of Mutual Funds:

1. **Equity Mutual Funds** – Invest in stocks, suitable for long-term growth.
2. **Debt Mutual Funds** – Invest in government and corporate bonds, safer but lower returns.
3. **Hybrid/Balanced Funds** – A mix of equity and debt, balancing risk and return.
4. **Index Funds** – Track a stock market index (e.g., Nifty 50, Sensex).
5. **ELSS (Equity Linked Saving Scheme)** – Offers tax benefits under Section 80C.

How Mutual Funds Work:

- Investors buy **units** of a mutual fund based on **Net Asset Value (NAV)**.
- The fund manager invests the pooled money in different stocks or bonds.
- Returns come from **capital gains**, **dividends**, and **interest earnings**.
- Investors can redeem units based on NAV.

Example:

You invest ₹10,000 in a mutual fund with an NAV of ₹100. You get **100 units**. If NAV rises to ₹120, your investment is now **₹12,000**.

Key Differences Between Shares and Mutual Funds

Feature	Shares	Mutual Funds
Ownership	Direct company ownership	Indirect ownership via pooled funds
Risk	High, depends on market fluctuations	Lower due to diversification
Returns	Can be high but volatile	Stable and managed by experts
Investment Type	Self-managed	Managed by professionals
Minimum Investment	Varies (as low as ₹1)	₹500 (for SIP), ₹5,000 (for lump sum)

Which is Better for You?

- If you have **market knowledge** and can take risks, **investing in shares** directly can be rewarding.
- If you prefer **professional management and diversification**, **mutual funds** are a safer option.

Step-by-Step Process of Stock Trading on NSE & BSE

1. Company Listing on the Exchange

- A company **issues shares through an IPO (Initial Public Offering)**.
- After the IPO, the shares get **listed on NSE & BSE**, making them available for trading in the **secondary market**.

2. Placing Buy/Sell Orders

- Investors place orders to **buy or sell shares** through registered stockbrokers or online trading platforms (e.g., Zerodha, Upstox, Groww).
- Orders are matched automatically based on demand and supply.

3. Order Matching & Execution

- NSE & BSE use **electronic trading systems** to match buy orders with sell orders.
- **Market Order:** If you place a market order, your trade happens instantly at the current market price.

- **Limit Order:** You can set a specific price at which you want to buy or sell, and the trade executes when the price matches.

4. Settlement Process

- After a trade is completed, the **clearing and settlement** process begins.
- **T+1 Settlement Cycle:** In India, stock trades are settled within **1 business day (T+1)**, meaning if you buy a stock today, it will be credited to your **Demat account** tomorrow.

5. Share Ownership Transfer

- Once the settlement is completed, shares are transferred to the **buyer's Demat account** and money is transferred to the **seller's account**.

Key Participants in Stock Market Trading

Participant	Role
Stock Exchange (NSE/BSE)	Provides the platform for trading
SEBI (Securities & Exchange Board of India)	Regulates the stock market and ensures fair trading
Stockbrokers (Zerodha, Upstox, AngelOne, ICICI Direct, etc.)	Facilitate buying/selling of stocks for investors
Depositories (NSDL & CDSL)	Store shares in electronic format (Demat accounts)
Clearing Corporation (NSCCL, ICCL)	Ensures smooth settlement of trades

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Example of a Stock Trade

1. You decide to buy **10 shares of Reliance Industries** at ₹2,500 each.
2. You place an order through **Zerodha** (or any broker).
3. Your order is matched with a seller on **NSE/BSE**.
4. The trade gets executed and recorded.
5. On the **next business day (T+1)**, the shares are credited to your **Demat account**.

Why Stock Prices Fluctuate?

Stock prices change due to:

- **Demand & Supply:** Higher demand increases price, while higher supply decreases price.

- **Company Performance:** Strong earnings = higher stock price.
- **Market Sentiment:** Economic news, government policies, and investor mood impact stock movements.
- **Global Events:** Crises, wars, or major policy changes affect market trends.